

SANDS CAPITAL

Emerging Markets Growth

Quarterly Report
September 30, 2026
USD

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Emerging Markets Growth

Emerging Markets Growth seeks to selectively own what we view as premier emerging market growth businesses. The portfolio consists of businesses benefiting and driving secular change, including digitalization, industry consolidation and formalization, and life sciences innovation.

Investment Criteria

1. Sustainable above-average earnings growth
2. Leadership position in a promising business space
3. Significant competitive advantage/unique business franchise
4. Clear mission and value-added focus
5. Financial strength
6. Rational valuation relative to the market and business prospects

Key Attributes

September 30, 2026

Concentrated and Conviction-Weighted

Holdings	**45 businesses**
Top Ten Weight	**50%**

Long-Term Investment Horizon

Turnover (Annual Avg.)	**23%**
Expected Holding Period	**5+ years**

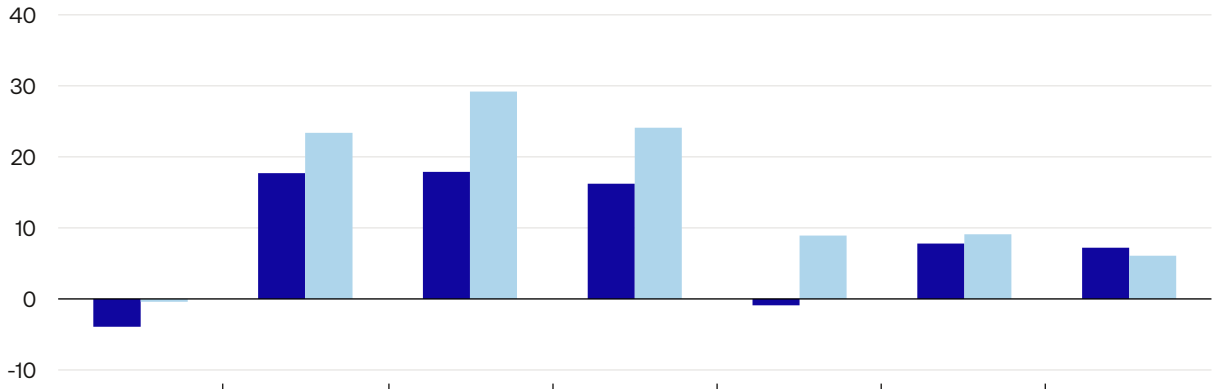
Growth-Oriented

Sands Capital Long-Term EPS Growth Estimate	**42%**

Investment Results (%)

Emerging Markets Growth vs. MSCI Emerging Markets Index

As of 09/30/2026



	QTD	YTD	1 Year	3 Years	5 Years	10 Years	Since Inception
Portfolio (Net)	-3.9	17.7	17.9	16.2	-0.9	7.8	7.2
Benchmark	-0.4	23.4	29.2	24.1	8.9	9.1	6.1
Value Added (%)	-3.5	-5.6	-11.3	-7.9	-9.8	-1.3	1.2

Calendar Year Returns (%)

	2017	2018	2019	2020	2021	2022	2023	2024	2025	YTD
Portfolio (Net)	39.1	-14.0	28.2	54.8	-9.0	-34.2	11.7	3.1	21.6	17.7
Benchmark	37.3	-14.6	18.4	18.3	-2.5	-20.1	9.8	7.5	33.6	23.4
Value Added (%)	1.8	0.6	9.8	36.5	-6.5	-14.1	1.8	-4.4	-11.9	-5.6

Inception date is 12/31/2012. Returns over one year are annualized. The investment results shown are net of advisory fees and expenses and reflect the reinvestment of dividends and any other earnings. The investment results are those of the Emerging Markets Growth Composite. Net of fee performance was calculated by reducing Emerging Markets Growth Composite's monthly gross return by 1/12 of the highest applicable annual fee of 1.25% for the period from January 1, 2013 to March 31, 2019. Beginning on April 1, 2019, the highest applicable annual fee was lowered, and net of fee returns were calculated by reducing the composite's monthly gross return by 1/12 of the highest applicable annual fee of 0.85%. Past performance is not indicative of future results. Data Load ID: 670

Portfolio Characteristics

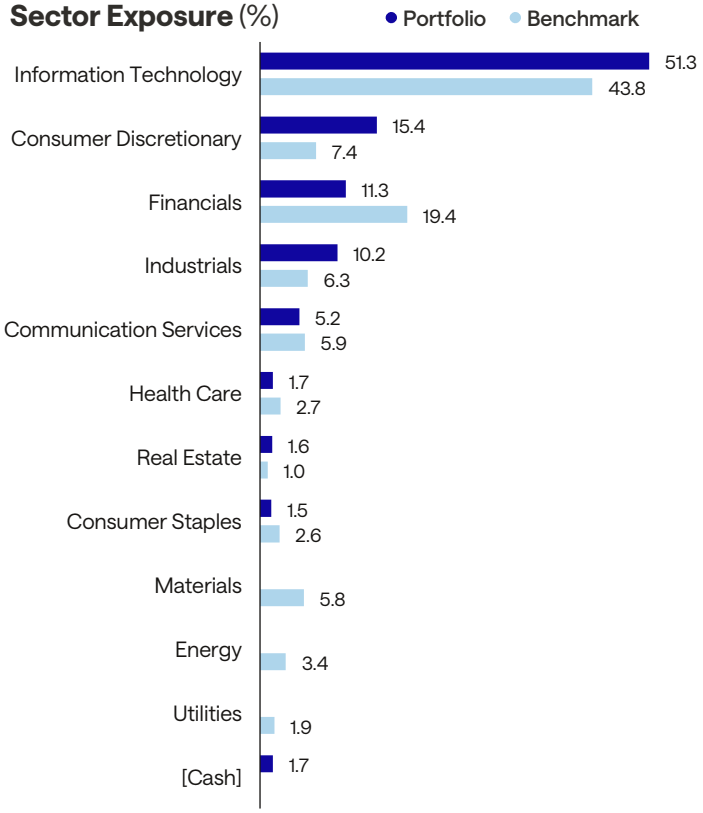
	Portfolio	Benchmark
Strategy Assets (USD)	$5.1B	n/a
Portfolio Businesses	45	1,165
Active Share	60%	n/a
5-Year Historical EPS Growth	25%	18%
Consensus Forward P/E - Next 12 mos.	11x	10x
Weighted Avg. Market Cap (USD)	$507.3B	$539.6B
Median Market Cap (USD)	$55.2B	$12.2B
Turnover - Trailing 12 mos.	63%	n/a

Efficiency and Volatility Metrics

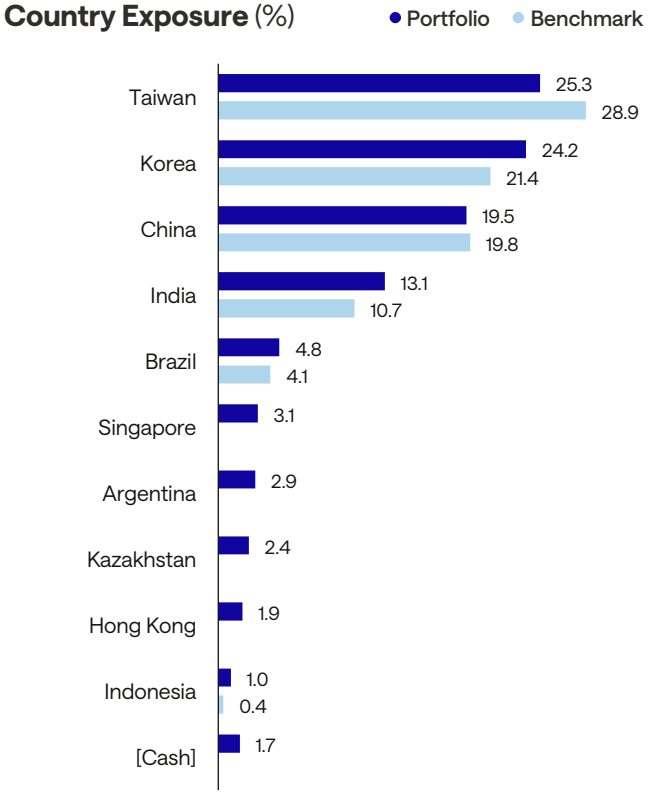
(Trailing 5 Years Net of Fees)	Portfolio	Benchmark
Beta	0.88	1
Information Ratio	-1.2	n/a
R-Squared	81.5%	100.0%
Sharpe Ratio	-0.3	0.3
Standard Deviation	17.8%	18.2%
Tracking Error	8.0%	n/a
Up Capture	65.6%	100%
Down Capture	104.6%	100%

Past performance is not indicative of future results.

Sector Exposure (%)



Country Exposure (%)



Top Ten Holdings (49.7% of Assets)

Company	Sector	Domicile	Weight (%)	Owned Since
Taiwan Semiconductor	Information Technology	Taiwan	11.6	2015
Samsung Electronics	Information Technology	Korea	9.8	2025
SK hynix	Information Technology	Korea	7.6	2025
MediaTek	Information Technology	Taiwan	3.9	2025
Delta Electronics	Information Technology	Taiwan	3.3	2026
Tencent	Communication Services	China	3.1	2012
MercadoLibre	Consumer Discretionary	Argentina	2.9	2012
Bajaj Finance	Financials	India	2.7	2018
Kaspi	Financials	Kazakhstan	2.4	2020
Nu Holdings	Financials	Brazil	2.4	2021

Source: Benchmark data sourced from Benchmark providers. Company domicile, sector, industry, regional, and country classifications, where applicable, are sourced from MSCI. Other data sourced from FactSet.

Portfolio Holdings by Sector

Sector/Company	GICS Industry	Domicile	Portfolio (%)	Benchmark (%)	Owned Since
Communication Services			**5.2**	**5.9**	
Bharti Airtel	Wireless Telecommunication Services	India	2.1	0.4	2025
Tencent	Interactive Media & Services	China	3.1	2.7	2012
Consumer Discretionary			**15.4**	**7.4**	
Alibaba	Broadline Retail	China	1.8	1.9	2025
Amber Enterprises	Household Durables	India	1.2	0.0	2026
Anta Sports Products	Textiles, Apparel & Luxury Goods	China	1.2	0.1	2016
BYD	Automobiles	China	0.9	0.3	2024
Coupang	Broadline Retail	Korea	0.9	0.0	2022
Eternal	Hotels, Restaurants & Leisure	India	1.0	0.1	2025
H World	Hotels, Restaurants & Leisure	China	1.8	0.1	2024
Meituan	Hotels, Restaurants & Leisure	China	0.4	0.4	2025
MercadoLibre	Broadline Retail	Argentina	2.9	0.0	2012
Sea	Broadline Retail	Singapore	2.2	0.0	2017
Titan	Textiles, Apparel & Luxury Goods	India	0.9	0.1	2019
Consumer Staples			**1.5**	**2.6**	
Raia Drogasil	Consumer Staples Distribution & Retail	Brazil	1.5	0.0	2012
Financials			**11.3**	**19.4**	
AIA	Insurance	Hong Kong	1.9	0.0	2018
Bajaj Finance	Consumer Finance	India	2.7	0.2	2018
Bank Central Asia	Banks	Indonesia	1.0	0.1	2018
HDFC Bank	Banks	India	0.9	0.7	2017
Kaspi	Consumer Finance	Kazakhstan	2.4	0.0	2020
Nu Holdings	Banks	Brazil	2.4	0.4	2021
Health Care			**1.7**	**2.7**	
Apollo Hospitals	Health Care Providers & Services	India	0.9	0.1	2012
Shanghai Conant Optical	Health Care Equipment & Supplies	China	0.8	0.0	2026
Industrials			**10.2**	**6.3**	
Adani Ports and Special Economic Zone	Transportation Infrastructure	India	1.7	0.1	2026
Contemporary Amperex Technology	Electrical Equipment	China	2.0	0.2	2023
DiDi Global	Ground Transportation	China	0.6	0.0	2025
Grab Holdings	Ground Transportation	Singapore	0.9	0.0	2024
Hyosung Heavy Industries	Electrical Equipment	Korea	2.4	0.1	2026
SK Square	Industrial Conglomerates	Korea	1.7	0.6	2026
WEG	Electrical Equipment	Brazil	0.9	0.1	2023
Information Technology			**51.3**	**43.8**	
Advanced Micro-Fabrication Equipment	Semiconductors & Semiconductor Equipment	China	1.5	0.0	2026
ASPEED Technology	Semiconductors & Semiconductor Equipment	Taiwan	1.3	0.2	2026
Chroma ATE	Electronic Equipment, Instruments & Components	Taiwan	1.5	0.2	2026
Delta Electronics	Electronic Equipment, Instruments & Components	Taiwan	3.3	0.9	2026
Elite Material	Electronic Equipment, Instruments & Components	Taiwan	1.5	0.4	2026
eMemory Technology	Semiconductors & Semiconductor Equipment	Taiwan	2.1	0.0	2026
MediaTek	Semiconductors & Semiconductor Equipment	Taiwan	3.9	1.8	2025
Montage Technology	Semiconductors & Semiconductor Equipment	China	1.8	0.0	2026
NAURA Technology	Semiconductors & Semiconductor Equipment	China	1.5	0.0	2026
Samsung Electro-Mechanics	Electronic Equipment, Instruments & Components	Korea	1.9	0.5	2026
Samsung Electronics	Technology Hardware, Storage & Peripherals	Korea	9.8	8.5	2025
SK hynix	Semiconductors & Semiconductor Equipment	Korea	7.6	5.9	2025
Taiwan Semiconductor	Semiconductors & Semiconductor Equipment	Taiwan	11.6	15.6	2015
Xiaomi	Technology Hardware, Storage & Peripherals	China	0.7	0.4	2025
Zhongji Innolight	Communications Equipment	China	1.3	0.1	2026
Real Estate			**1.6**	**1.0**	
Phoenix Mills	Real Estate Management & Development	India	1.6	0.0	2025
Cash			1.7		

Data presented is that of the Emerging Markets Growth Composite. The index represented will differ in characteristics, holdings, and sector weightings from that of the composite. The index does not contain cash and does not reflect the reinvestment of dividends. Rounding may cause totals to vary from 100.0%. GIPS Reports found here. Source: Sands Capital, FactSet, MSCI

Third Quarter 2026 Commentary

Market Environment

Emerging markets were modestly lower in 2026's third quarter, as measured by the MSCI Emerging Markets Index (MSCI EM). The index declined by less than 1 percent, but that modest move masked wide swings across countries and sectors. The quarter also saw a leadership reversal, with value stocks outperforming growth stocks by the widest margin since 2022's first quarter, as measured by the MSCI Emerging Markets Value Index versus the MSCI Emerging Markets Growth Index. It was also the first quarter since 2024 in which emerging market equities underperformed U.S. equities, as measured by MSCI Emerging Markets and the S&P 500 Indices.

Value- and defensive-oriented sectors were the strongest performers during the quarter, led by health care, energy, and materials. Industrials, information technology, and communication services were the weakest sectors. Notable macroeconomic developments during the quarter included a sharp rise in interest rates across developed markets and a 30 percent rise in Brent crude oil. Additional pressure came from a historically large selloff in semiconductor stocks in July and increasing concerns about AI progress, competition, and safety.

The top-performing countries for the quarter were small, with the best five each accounting for 1 percent or less of the index. Korea was the top decliner. From a contribution perspective, Taiwan, China, and Brazil led the index, while Korea, India, and Mexico were top detractors.

Notably, the quarter saw meaningful dispersion among AI infrastructure businesses, with strength in Taiwan but weakness in China and Korea.

Investment Results and Attribution

Emerging Markets Growth underperformed the MSCI EM in the third quarter amid a weak quarter for emerging market growth equities more broadly. Thematically, the portfolio benefited from its consumer and ecommerce platforms and from its Taiwan AI infrastructure businesses. However, its AI- and semiconductor-related businesses in China and Korea were a headwind, along with the portfolio's underweight to traditional value-oriented market segments.

Overall, Kazakhstan and Argentina were the top-contributing countries to Emerging Markets Growth's relative results, while China and Korea were the top detractors. From a sector perspective, consumer staples and consumer discretionary were the top relative contributors, while financials and industrials were the top detractors.

The top individual absolute contributors were COSMAX, MediaTek, eMemory Technology, Taiwan Semiconductor (TSMC), and Kaspi.

COSMAX shares rallied amid the broader recovery in Korean beauty products. Stronger-than-expected demand increased revenue growth and margin expectations among leading manufacturers. We capitalized on the momentum and exited the business, which we had viewed as a potential upgrade candidate.

MediaTek is a semiconductor designer whose chips power more than 2 billion devices, including smartphones and connected technologies. More recently, the business has emerged as a leading AI chip designer, with several positive developments contributing to upward earnings revisions and multiple expansion. In August, the company raised nearly $4 billion through a convertible bond offering, of which NVIDIA invested $3.5 billion. As part of the deal, MediaTek will use NVLink Fusion and the newly announced NVHBM technology as part of an NVIDIA tech suite to help components communicate more seamlessly in data centers. This broadens MediaTek's role from designing individual custom AI chips to providing an end-to-end solution, which could be attractive to smaller custom AI chip customers. Notably, Alphabet, MediaTek's largest custom AI chip customer, also invested, which we believe signals continued strength in that relationship. MediaTek is reportedly broadening the scope of its contribution to the design of Alphabet's next-generation TPU chip.

eMemory Technology is a leading developer of non-volatile memory, a critical chip design technology. In essence, the company builds tiny memory and security features that serve like fingerprints for chips. eMemory's security technology based on physically unclonable functions, NeoPUF, continues to show momentum. We view this as another signal that rising adoption is starting to translate into tangible revenue, now 11 percent of total revenue versus 5 percent a year ago. NeoPUF royalties saw another large step-up in the second quarter, roughly 17 times year over year and roughly 2 times quarter over quarter. Meanwhile, the broader backdrop remains favorable. Management highlighted that AI server security requirements are expanding from a single chip to multiple parts of the system, including compute, storage, connectivity, and system management. Therefore, eMemory is seeing more customers engage earlier

on security architecture, with more applications under evaluation versus prior cycles. Looking ahead, management expects royalty growth to accelerate in the second half of the year, driven by foundry price hikes, new projects entering mass production, and growing NeoPUF contribution. Foundry price hikes that began in the second quarter should start flowing through eMemory's results in the second half, given a roughly one-quarter lag in revenue recognition.

TSMC shares fluctuated alongside semiconductor stocks more broadly, with a large July decline and a choppy recovery afterward. The AI ecosystem faced several debates over the course of the quarter, one of which was the emergence of open models as a credible alternative to closed models for many use cases. For TSMC, what matters most for our AI investment case is ongoing scaling progress and token growth driven by training leading-edge models. In our view, whether this is done by frontier labs or not should not matter for fabrication demand. The durability of the AI investment cycle more broadly also continues to drive sentiment for TSMC, but September's announced 10 percent price hike reflects continued ecosystem demand and the business' persistent pricing power. We continue to own the business at a large weight across portfolios. A deceleration in overall industry billings is one gauge we are monitoring and could be a headwind to TSMC's near-term investment results. That said, consensus estimates for TSMC's 2027 and 2028 earnings rose over the course of the quarter, so this is not yet a warning sign.

Kaspi is a leading Kazakh fintech company and super app, integrating digital payments, an ecommerce marketplace, and financial services into a single ecosystem. In our view, the market began recognizing a more positive near-term setup in August, as Kazakh interest rates shift from a headwind to a tailwind and Kaspi's Turkey business moves from integration toward product rollout. AI is also becoming a strategic lever: Kasper, Kaspi's new AI shopping assistant, launched in July for all ecommerce consumers in Kazakhstan. Early adoption has been encouraging, with 20 percent of eligible consumers using Kasper and 80 percent of conversations producing a product recommendation. Kasper draws on Kaspi's proprietary commerce data, including assortment, pricing, and delivery options, to guide and complete transactions, and management reports it is meaningfully faster than standard product discovery. We expect Kasper to deepen monetization in Kaspi's core Kazakh market, with its rollout in Turkey potentially providing a further user-experience benefit as that business scales.

The top individual absolute detractors were SK hynix, SK Square, Advanced Micro-Fabrication Equipment (AMEC), NAURA Technology, and Contemporary Amperex Technology (CATL).

SK hynix is the world's market-share leader in high-bandwidth memory (HBM) production, and SK Square is a holding company that derives the bulk of its value from its ownership of SK hynix. Shares of both declined in the third quarter, falling sharply in July amid a reversal in semiconductor and other high-momentum stocks before partially recovering in August and September. The investor reaction to second-quarter results also pressured SK hynix's shares, as revenue and earnings were modestly below consensus expectations. We view the perceived miss as less concerning, as it largely reflected mix and timing. A portion of HBM shipments, the premium product central to the AI buildout, shifted from the second into the third quarter, while a heavier mix of lower-priced mobile memory diluted average selling prices. In our view, the multiyear supply agreements SK hynix has secured are more consequential than the quarter itself. We believe they can sustain elevated margins for longer and dampen the boom-bust cycle that has historically defined the memory industry, while enabling substantial share repurchases that we do not believe sell-side estimates yet reflect. During the quarter, management also announced its long-awaited shareholder return plan. More than 50 percent of cumulative free cash flow from 2025 to 2027 is targeted for return to investors through cash dividends, share repurchases, and cancellations. Despite the quarterly share price decline, consensus estimates for 2027 and 2028 earnings rose by 4 percent and 12 percent, respectively. SK hynix ended the quarter trading at 4 times forward earnings, close to all-time lows.

AMEC and **NAURA Technology** are two of China's leading semiconductor equipment manufacturers. AMEC's leading-edge etch tools generate 80 percent of its revenue, positioning it to benefit from China's memory capacity expansion cycle. NAURA, meanwhile, specializes in deposition, etching, and other process tools used in the fabrication of logic chips. Both businesses pulled back in 2026's third quarter, following strong momentum in 2026's first half. In our view, the businesses appear well positioned to benefit from capex expansion at domestic chip fabs and increasing equipment localization. Component shortages could delay revenue recognition, and investment remains elevated as the businesses seek to expand capacity. We believe these are short-term dynamics, unlikely to derail the longer-term opportunity created by a domestic semiconductor ecosystem that increasingly favors local providers. In AMEC's case, international expansion could extend its growth runway.

CATL is the world's largest lithium-ion battery manufacturer by market share. During the quarter, the business faced investor debates over margins, overcapacity, and sodium-ion competition, none of which we view as derailing the investment case. Gross profit per unit softened in the second quarter as CATL absorbed higher material costs to gain share while peers struggled. Unit net profit leads competitors by a wide margin, and the business continues to generate free cash flow. On overcapacity, we are not concerned yet. CATL has expanded capacity to 1,050 GWh annualized while running above 95 percent utilization with output largely sold out, evidence that capacity is tracking rather than outrunning demand. Growth drivers include electric-commercial-vehicle adoption, faster EV growth outside Europe and the United States, rising battery content per vehicle, and AI-data-center-driven storage demand. CATL also looks well positioned for a shift toward lower-cost, longer-life sodium-ion batteries. It launched the first commercially validated sodium-ion storage system in June and secured major orders, including a three-year, 60-GWh contract with Hyperstrong. The announced share buyback, the largest in A-share history, underscores management's confidence in the business.

Portfolio Activity

This quarter's changes to the portfolio continue to reflect our constructive outlook on the AI demand environment. Our recent research in Asia revealed continued strong demand across key segments such as compute, memory, and power, broadening to smaller parts of the value chain such as networking, packaging, printed circuit board materials, and components. Our work points to three key takeaways. First, companies across the value chain cannot meet current demand. Second, hyperscalers and other key customers are committing to long-term agreements that extend supplier revenue visibility beyond the next two to three years and include upfront cash payments to support suppliers' capacity expansion. Third, AI infrastructure businesses are experiencing difficulty within their own supply chains, leading some to seek alternative sources of supply on short notice or invest directly in critical areas to meet their commitments to customers.

We completed the purchases of ASPEED Technology, Elite Material, Samsung Electro-Mechanics (SEMCO), Shanghai Conant Optical, and Zhongji Innolight. We completed the sales of Al Rajhi Bank, COSMAX, Full Truck Alliance, and HDFC Life Insurance.

ASPEED Technology is the world's largest designer of baseboard management controller (BMC) chips by market share. BMCs are critical components of cloud data centers, acting as the nervous systems of the servers to perform vital health checks, such as monitoring temperature, voltage, hardware errors, and security. BMCs proactively detect issues and can take corrective action without manual intervention. These chips reduce servers' downtime, save energy, prevent costly failures, and maintain stability, making them indispensable to modern data centers. BMC volumes and pricing are driven by the secular trend of growing compute demand. ASPEED commands roughly 70 percent market share among all BMC designers, underpinning strong profitability despite the cyclicality of the broader semiconductor industry. Headquartered in Taiwan, ASPEED's proximity to server design manufacturers enables close collaboration and research and development integration, helping the company maintain its leadership position.

We previously owned ASPEED from February 2025 to January 2026. Our exit was based on valuation discipline, given the stock's strong investment results and what we viewed at the time as lower prospective return potential. Since then, agentic AI workloads have begun ramping, driving a meaningful increase in demand for CPUs and traditional servers, and, indirectly, BMCs. For context, a traditional CPU server requires roughly twice as many BMCs as an AI server. Given what we view as positive revisions to the company's addressable market and earnings trajectory, coupled with the valuation opportunity presented by July's pullback in semiconductor stocks, we repurchased the business at a small weight.

Elite Material is a leading supplier of copper clad laminate (CCL), the main construction material for printed circuit boards (PCBs). CCL is the foundational raw material in a PCB and contributes roughly 30 percent to 40 percent of its cost. It carries high-speed signals across increasingly complex boards while limiting signal loss and managing heat. Once focused on smartphones, Elite has extended into data centers, networking, and automotive markets. The business holds approximately 50 percent market share in high-end CCL, and we expect it to benefit from an AI-driven demand upcycle for PCB. NVIDIA's Rubin racks are expected to use over 200 percent more PCB content than its previous Blackwell racks. We believe CCL is a particularly attractive layer of the PCB ecosystem, given less fragmented competition, longer supply tightness, and higher barriers to entry. Elite supplies a critical engineered material, which should also support pricing power and margin resilience through weaker cycles. Given its advantages in technology, raw material access, and capacity, Elite looks well positioned to benefit from these dynamics, in our view. Its large customer base spans major GPU and ASIC designers.

SEMCO is the world's second-largest manufacturer of multi-layer ceramic capacitors (MLCCs) by market share. MLCCs store electrical energy as a field rather than a chemical reaction, so they charge and discharge almost instantly. That makes them essential in AI servers, where power demand spikes and falls as workloads shift between heavy computation and lighter tasks. Each generation of AI accelerator tends to require more capacitance, delivered in smaller form factors as chip power rises faster than the space available on the package, and positioned closer to the processor to reduce electrical losses. In our view, those engineering demands are narrowing the field at the high end, where SEMCO and Murata together hold roughly 85 percent share. Long qualification cycles and, increasingly, co-design work protect that position. Longer term, we expect AI features in consumer electronics, vehicles, and robotics to raise the number of high-end MLCCs per device, which could support pricing upside. Beyond MLCCs, SEMCO also supplies ABF substrates, the packaging layer linking a chip to its circuit board, and is an emerging silicon capacitor supplier. We believe producing all three is a competitive advantage, which could support better economics and faster time to market than substrate makers that must co-design with outside capacitor suppliers.

Shanghai Conant Optical is a leading manufacturer of resin spectacle lenses, the lightweight plastic lenses used in most eyeglasses. Its traditional lens franchise is highly profitable, relatively countercyclical, and supported by demographic trends toward greater demand for vision care. The business generates high returns on equity, in our view reflecting durable advantages in technology, manufacturing, and cost. Chief among these is its strength in high-index lenses, which depends on manufacturing know-how and scarce raw material access that competitors cannot easily replicate. We expect these advantages to deepen as the market for smartglasses grows. What matters most for Conant, in our view, are smartglasses with displays, whose lenses are more complex to make and can command materially higher prices. We believe Conant's commercialization partnership with Meta Platforms, and research and development engagements with other technology leaders, support our view that it is well positioned in the smartglasses ecosystem.

Zhongji Innolight is the world's largest maker of optical transceivers by market share. These components move data at high speed across AI data centers. They convert electrical signals into light and back, enabling the fast, low-latency, and scalable connections that modern AI infrastructure demands. As data centers shift toward AI workloads, optical content per server rises sharply. Rising connection speeds increasingly favor optics over copper, expanding the market for the modules Innolight makes. High-speed transceivers now account for more than 60 percent of the optical components market. Innolight co-designs its newest products with customers such as Alphabet and NVIDIA, and serves major U.S. hyperscalers, including Amazon and Meta Platforms. Qualifying with these customers is a high barrier, and Innolight's design-in position with them supports its leadership through successive speed upgrades. Unlike vertically integrated peers, Innolight follows a fabless-like model, sourcing best-in-class chips and lasers from merchant suppliers. In our view, this gives it speed to market, flexibility, and the freedom to adopt the latest components immediately. We believe its early leadership in silicon photonics, including its own modulators, further strengthens its cost advantage. We are also encouraged by new offerings that extend its franchise beyond the core transceiver business.

Al Rajhi Bank is the world's largest Islamic bank and Saudi Arabia's largest retail bank, by market share. We expected the business to be a primary beneficiary of economic diversification and societal liberalization in Saudi Arabia, as the country's leading retail bank. Key goals of the government's Vision 2030 initiative, such as cultivating a consumer-driven economy, increasing credit access for small and medium enterprises, and stimulating domestic private corporate sector demand, appeared supportive of growing incomes, consumption, and credit demand. The Iran war changes the outlook for the economy and, in turn, the bank's earnings trajectory and valuation. While Saudi Arabia aspires to diversify its economy, hydrocarbons continue to account for most of its exports, government finances, and overall growth. High energy prices benefit Saudi Arabia, but the constrained export ability—and uncertainty about that ability—is a material headwind. Even if the conflict ended in the near term, rebuilding critical infrastructure could take time, and there could be lingering adverse effects on the government's fiscal position, consumer sentiment, and commercial activity.

COSMAX is the world's largest original design manufacturer in cosmetics by revenue, producing over 1 billion products annually for more than 1,000 brands globally. The company serves a wide spectrum of clients, from multinational beauty conglomerates to emerging independent labels, with core strengths in color cosmetics and growing expertise in skincare. We remain constructive on the Korean beauty space, and recent earnings for COSMAX and peers have exceeded both our own and consensus estimates. The stocks rose on the back of these earnings reports and a constructive near-term outlook. Expected returns are now relatively less

compelling, in our view, and continued outperformance from these levels would require both further earnings upgrades and a stock re-rating. We took advantage of the favorable environment to exit the relatively liquidity-constrained position.

Full Truck Alliance is China's leading digital freight platform by market share. The business connects millions of truckers and shippers within the vast, highly fragmented, and nonstandardized truckload industry. Our research suggests it remains a high-quality, value-adding platform, which we believe should result in pricing power over time. However, the regulatory landscape remains uncertain, making it difficult to underwrite a clear path to higher monetization, particularly with elevated energy prices pressuring truckers. We took advantage of recent multiple expansion in the stock to exit our small, sub-1 percent position, and will look to reallocate that capital to businesses with clearer earnings trajectories.

HDFC Life Insurance is one of India's largest life insurance providers and has been a portfolio holding since December 2023. The business continues to be, in our view, a disciplined, well-managed company in a structurally attractive industry. However, two concerns drove our decision to sell. First, a seemingly constant stream of regulatory changes has created recurring near-term noise and periodic pressure on the stock since initiation, resulting in meaningful opportunity cost. Second, the business is receiving less support from its parent company, HDFC Bank, and is having more difficulty selling through the bank's distribution channel, which we had expected to be a competitive advantage.

Outlook

We continue to invest in a market that seems increasingly short-term and skittish, one that often moves for reasons that have little to do with what a business is worth. Passive vehicles allocate by index weight rather than judgment, thematic funds concentrate capital around a single story, and leverage accelerates the swings in both directions. As more money trades on flows, factors, and narratives, prices detach from underlying value more frequently and more violently.

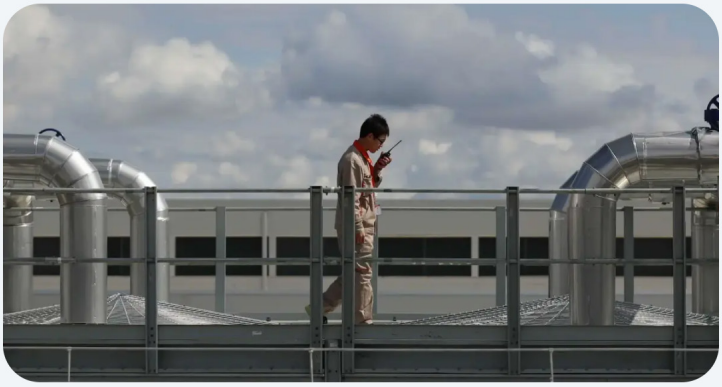
We believe this environment, uncomfortable as it feels in the moment, favors investors willing to do the opposite. The index has done well, but it is built by looking backward: rebalancing mechanically and with a lag, adding leadership after it is established, and shedding it after it has broken.

The AI trade itself has grown more complicated, shaped by technological, corporate, and geopolitical developments in combination rather than any one of them alone. Investors continue to debate whether current capital spending is sustainable and how quickly it will translate into returns. This is where we believe discretion matters most, in what we choose to own today and how quickly we can act for tomorrow. We are already seeing signs of AI monetization within our own portfolio, and in many cases these signs are emerging in businesses that are diluted within the index or excluded from it altogether. In a period this volatile and uncertain, we believe the case for weighing businesses individually, rather than owning the market by default, grows stronger rather than weaker.

That discretion is not commanding a premium right now. The businesses we own trade at roughly 11 times forward earnings, versus 10 times for the index, the cheapest our approach has been in the strategy's history. Against that, our estimates imply approximately 40 percent annual earnings growth over the next five years.

We are not being asked to pay up for discretion. We are being offered it near the lowest price we have seen.

Related Perspectives



The Stack That China Built

China's AI future requires more than models. It rests on the companies supplying the equipment, memory, cloud capacity, and data movement needed to make domestic AI work at scale.

Article | On the Road | Emerging Markets | Artificial Intelligence
14 min read



Korea in Demand

Korea's opportunity set has broadened as global demand rises for trusted suppliers across AI infrastructure, semiconductors, power equipment, shipbuilding, nuclear, robotics, and beauty.

Article | Emerging Markets | On the Road | 12 min read

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Differences in account size, timing of transactions and market conditions prevailing at the time of investment may lead to different results, and clients may lose money. A company's fundamentals or earnings growth is no guarantee that its share price will increase. Forward earnings and revenue projections are not predictors of stock price or investment performance, and do not represent past performance. Characteristics, sector exposure and holdings information are subject to change, and should not be considered as recommendations. The specific securities identified and described do not represent all of the securities purchased, sold, or recommended for advisory clients. There is no assurance that any securities discussed will remain in the portfolio or that securities sold have not been repurchased. You should not assume that any investment is or will be profitable. Weighted average annualized earnings growth figures are Sands Capital estimates. Upon request, a complete list of securities purchased and sold will be provided. A full list of public portfolio holdings, including their purchase dates, is available here. To receive a complete list of and description of the calculation methodology for the attribution analysis and complete list detailing each holding's attribution please contact a member of the Client Relations Team at 703-562-4000.

Contribution Analysis (Net %)

Quarter to Date — Top Absolute Contributors

Company Name	Avg. Weight	Return	Contribution
COSMAX	0.5	108.6	0.6
MediaTek	3.3	16.5	0.5
eMemory Technology	1.3	12.9	0.4
Taiwan Semiconductor	11.5	3.1	0.3
Kaspi	2.6	10.8	0.3

Bottom Absolute Detractors

Company Name	Avg. Weight	Return	Contribution
SK hynix	7.2	-23.5	-2.1
SK Square	1.9	-23.4	-0.8
Advanced Micro-Fabrication Equipment	1.6	-31.4	-0.7
NAURA Technology	1.6	-29.7	-0.6
Contemporary Amperex Technology	2.6	-25.0	-0.6

Trailing 1 Year — Top Absolute Contributors

Company Name	Avg. Weight	Return	Contribution
Samsung Electronics	7.6	233.0	10.1
SK hynix	5.6	429.5	8.5
Taiwan Semiconductor	12.1	68.0	7.2
MediaTek	2.2	265.7	2.8
SK Square	1.1	94.2	1.6

Bottom Absolute Detractors

Company Name	Avg. Weight	Return	Contribution
Tencent	4.7	-36.6	-2.4
Sea	2.8	-47.3	-2.3
Coupang	1.8	-58.7	-1.7
Alibaba	2.3	-43.5	-1.5
MercadoLibre	3.9	-27.8	-1.4

Trailing 3 Year — Top Absolute Contributors

Company Name	Avg. Weight	Return	Contribution
Taiwan Semiconductor	10.0	452.8	21.3
Samsung Electronics	2.6	290.3	10.4
SK hynix	1.9	513.3	8.8
MercadoLibre	5.4	30.7	4.8
Nu Holdings	3.9	69.0	4.2

Bottom Absolute Detractors

Company Name	Avg. Weight	Return	Contribution
Globant	1.7	-79.9	-2.6
XP	1.0	-46.3	-1.6
Wuxi Biologics	0.2	-62.7	-1.5
Alibaba	1.4	-23.8	-1.3
Xiaomi	0.7	-50.9	-1.2

Trailing 5 Year — Top Absolute Contributors

Company Name	Avg. Weight	Return	Contribution
Taiwan Semiconductor	8.5	344.0	18.7
Samsung Electronics	1.5	291.4	10.5
SK hynix	1.2	514.5	8.9
Nu Holdings	3.0	28.4	5.0
MercadoLibre	5.9	-1.6	5.0

Bottom Absolute Detractors

Company Name	Avg. Weight	Return	Contribution
Sea	3.9	-74.0	-8.5
Wuxi Biologics	1.0	-88.5	-5.4
Yandex	0.3	-76.6	-4.4
Alibaba	1.9	-57.8	-3.7
Globant	2.1	-86.8	-3.7

All values are those of the Emerging Markets Growth Composite. The companies identified above represent a subset of current and former holdings in the Emerging Markets Growth portfolio and were selected based on the performance measures presented. With the exception of IPOs where actual transacted prices are used, contributions are calculated in FactSet Portfolio Analysis using FactSet end of day prices, and do not reflect actual purchase prices. This can affect the presentation of contribution and performance of transactions amid heightened volatility. Security return and contribution are net of advisory fees and expenses and reflect the reinvestment of dividends and any other earnings. Attribution generated returns will not match actual performance because FactSet uses different exchange rate sources, the performance does not capture intra-day trading, and the analysis removes the impact of cash flows. Relative Return calculations do not incorporate risk or volatility impacts and should not be exclusively relied upon. To receive a description of the calculation methodology for the attribution analysis and a complete list detailing each holding's attribution please contact a member of the Client Relations Team at 703-562-4000. Past performance is not indicative of future results.

Stewardship

Carbon Exposure

Emerging Markets Growth vs. MSCI Emerging Markets Index
Reported September 30, 2026

Carbon Footprint

	Carbon Emissions	Carbon Intensity	Weighted Avg. carbon intensity	Carbon emissions data availability
Emerging Markets Growth	9.3	48.6	63.2	98%
MSCI EM	143.5	315.1	239.2	100%
	tCO_2e/$M Invested	tCO_2e/$M Sales		Market Value

Carbon Emissions are calculated as Scope 1 & Scope 2 carbon emissions per $1 million invested. Portfolio and Benchmark Carbon Intensity is defined as the portfolio or benchmark carbon emissions per $1 million of portfolio or benchmark sales. At a business level, carbon intensity is calculated as carbon emissions per unit of sales (tons/$ 1 million sales). Weighted averages are computed as the sum product of the portfolio or benchmark companies' respective carbon values and portfolio or benchmark companies' weights.

Largest Contributors to Portfolio Weighted Average Carbon Intensity

Company	Portfolio Weight (%)	Carbon Intensity (S1+2) tCO_2e/$m	Contrib. to Wtd Avg. Carbon Intensity
Taiwan Semiconductor	11.8	174.9	20.9
SK hynix	7.7	115.9	9.1
Samsung Electronics	10.0	85.0	8.6
Samsung Electro-Mechanics	1.9	204.7	3.9
Contemporary Amperex Technology	2.0	178.7	3.7

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Proxy Voting

Proxy voting is an important part of our commitment to being an active, long-term owner and to fulfilling our fiduciary duty to act in the best interests of our clients.

Who Makes the Decision?

Voting decisions are made by members of our investment research team, those who know the business, and are typically directed by the lead analyst on the business.

What Information Do We Consider?

Our evaluation of each meeting agenda typically considers company proxy documents, our own research on the business, recent discussions with management, and third-party analysis.

While we do consider independent proxy advisers' guidance, we do not delegate our voting or rely upon such guidance in our voting decisions.

How Do We Approach Management Proposals?

Because management quality is a key criterion in identifying businesses for our portfolios, we tend to vote proxy proposals in favor of management. When we intend to vote against management, we may discuss the rationale for our decision with management.

Emerging Markets Growth Voting Activity
TTM Ending September 30, 2026

Votes	Businesses	Resolutions	%
Cast in Favor of Management	67	449	85%
Cast Against Management	10	52	10%
Abstentions	7	24	5%
		525	100%

Engagement enables us to better understand management's long-term vision and discuss how they manage ESG risks and opportunities, among other issues.

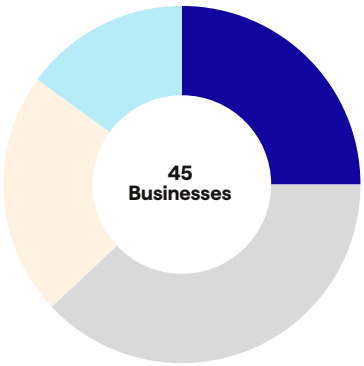
We meet regularly with the management teams of our portfolio businesses. Typically, they recognize us for our long-term investment orientation and focus on value creation.

We proactively express our views regarding business strategy, governance, financial reporting, executive compensation, and other stakeholder considerations when merited.

We are not activists and do not invest with the intention of pressuring management teams or pursuing campaigns to materially change our portfolio businesses.

We are objective and business-focused. We reserve the option to sell our shares if management is unable to address our concerns, which could reduce our conviction in the company's fit with our investment criteria.

Emerging Markets Growth Engagement Activity
TTM Ending September 30, 2026



- Business Strategy: 25%
- Governance: 38%
- Social: 22%
- Environment: 15%

ESG Topics Generally Addressed

Governance

Regulation
Board structure or composition
Capital structure
ESG strategy and oversight
Increasing transparency and disclosure
Shareholder protections and rights
Management accountability
Executive compensation
Related-party transactions
Audit and accounting

Social

Human capital management
Labor rights
Human rights
Regulation
Health and safety
Data security and privacy
Diversity and inclusion
Product safety and impact
Digital ethics

Environment

GHG emissions or climate change strategy
Environmental policy and strategy
Energy use and efficiency
Regulation
Material use and sourcing
Water use and efficiency

We may refrain from voting when issues arise that cause us to determine that voting proxies is not in the best interest of our clients or that it is not reasonably possible to determine whether voting proxies will be in the best interests of clients. Additionally, we do not vote in certain countries that require "share blocking," due to the possible liquidity constraints that could result in the cost of voting outweighing the benefit to the client. Shares out on loan also may not be voted. Sands Capital is not an activist investor and generally does not acquire or hold investments for the purpose or effect of changing or influencing the control of its investee companies.

As part of our ongoing research, Sands Capital regularly engages with the management teams and, if appropriate, board members of portfolio businesses to better understand each business's long-term strategic vision and management of risks and opportunities, including those pertaining to environmental, social, and governance (ESG) matters. The use of the term "active ownership" and Sands Capital's engagement with management teams and board members do not involve any direct or indirect attempt to exert pressure to implement specific measures, change policies, or otherwise influence control over the issuer.

Select Engagement Report

SK hynix



Business:
SK hynix manufactures memory semiconductors, including high-bandwidth memory (HBM) used in AI applications.

Key issues:
Capital allocation, regulation, and materials use and sourcing.

Background

SK hynix's manufacturing footprint exposes the company to changing government priorities, restrictions on semiconductor equipment, and the risks associated with geographic concentration. Our engagement explored how these considerations are shaping SK hynix's investment decisions across the United States, China, and Japan. We focused on how the company balances expansion opportunities with uncertainty around its ability to maintain and upgrade existing facilities.

Expanding the U.S. manufacturing presence

We discussed SK hynix's plans to expand its presence in the United States. The company indicated that it expected to begin construction of an advanced packaging facility for HBM in Indiana in calendar year 2026. It also noted that it may consider U.S. HBM production in the future, distinguishing that possibility from its planned investment in advanced packaging.

SK hynix acknowledged the U.S. government's interest in increasing domestic memory production as an important consideration in its longer-term planning. The discussion highlighted how government priorities are influencing the company's assessment of its manufacturing footprint, alongside operational and supply chain considerations.

Managing uncertainty around operations in China

The company also discussed uncertainty surrounding its Wuxi facility in China, where it produces a substantial amount of conventional dynamic random-access memory. At the time of the engagement, SK hynix was awaiting waivers to purchase advanced equipment for the facility.

The company indicated that it did not intend to purchase significant additional equipment without greater assurance that it could migrate production to more advanced manufacturing processes in the future. This point highlighted how regulatory uncertainty is shaping SK hynix's capital allocation. Further investment in Wuxi depends on greater assurance that it can obtain the equipment needed for future technology upgrades.

Diversifying the supply chain

SK hynix also described plans for a fabrication facility in Japan as part of its effort to diversify its manufacturing footprint beyond South Korea. The company framed this investment as a way to address geographic concentration within its supply chain.

The discussion provided insight into how SK hynix is considering resilience across its production network. Its plans in the United States and Japan reflect efforts to broaden its geographic presence, which should help mitigate geopolitical risks that can affect material sourcing.

Engagement outcome

The engagement clarified how geopolitical considerations are shaping SK hynix's manufacturing strategy and capital allocation. It distinguished the planned U.S. advanced packaging investment from the possibility of future HBM production and highlighted how uncertainty over technology upgrades is constraining additional equipment purchases in China. These insights provide a basis for future discussions on geographic diversification, execution of planned investments, and the company's ability to sustain the competitiveness of its manufacturing network.

This report is an example of the type of fundamental research Sands Capital conducts and, as such, contains the opinions and comments of Sands Capital at points in time. Additional or subsequent information may cause Sands Capital's views to change. This report is not a complete analysis of all material facts and therefore is not a sufficient basis alone on which to base an investment decision. This material may include summaries and references to research notes, emails, conference calls, and meetings, and there is no guarantee or representation that this information is complete, current, or accurate. The information contained herein has been prepared from sources believed reliable but is not guaranteed by us as to its timeliness or accuracy and is not a complete summary or statement of all available data. This report is for informational purposes only. As part of our ongoing research, Sands Capital regularly engages with the management teams and, if appropriate, board members of portfolio businesses to better understand each business's long-term strategic vision and management of risks and opportunities, including those pertaining to environmental, social, and governance (ESG) matters. Sands Capital's engagement with management teams and board members does not involve any direct or indirect attempt to exert pressure to implement specific measures, change policies, or otherwise influence control over the issuer. The company illustrated represents a holding in the Sands Capital strategies as of September 30, 2026, and was selected by the author on an objective basis to illustrate the views expressed in the Commentary. The example was selected based on the recent date of the engagements and topics discussed. The assessment of each business is based on factors that we believe are material to the long-term investment case. To receive a complete list of company engagements for the prior twelve months please contact a member of the Client Relations Team at 703-562-4000.

Emerging Markets Growth Composite (EMGC) GIPS Report

			EMGC			MSCI EM				
Year End	# Accounts	End of Period AUM (USD $M)	Returns (Net)	Returns (Gross)	Annualized 3Y Std. Dev. (Net)	MSCI EM	Annualized 3Y Std. Dev.	Non-Fee Paying % of Composite	Asset Wgt'd Std. Dev. (Gross)	Firm Total Assets (USD $M)
2025	15	$5,661.57	21.64	22.66	12.48	33.57	13.41	0.04	0.28	$48,202.34
2024	12	$5,496.63	3.08	3.95	16.75	7.50	17.50	0.03	0.23	$47,462.52
2023	13	$6,837.10	11.67	12.60	17.34	9.83	17.14	0.03	0.17	$46,746.96
2022	16	$6,626.47	-34.18	-33.60	24.23	-20.09	20.26	0.02	0.23	$40,707.08
2021	23	$13,014.02	-9.01	-8.23	21.42	-2.54	18.33	0.02	0.44	$75,340.29
2020	10	$6,521.97	54.79	56.05	22.43	18.31	19.60	0.04	0.17	$68,621.83
2019	8	$3,551.45	28.20	29.39	14.85	18.42	14.17	0.05	0.21	$44,636.85
2018	10	$2,432.63	-13.97	-12.86	15.97	-14.57	14.60	0.06	0.30	$35,387.67
2017	9	$2,010.72	39.12	40.82	14.51	37.28	15.35	0.08	0.28	$41,331.26
2016	9	$1,114.66	2.51	3.81	16.03	11.19	16.07	0.10	0.24	$34,914.29

Net Returns

As of 09/30/2026	QTD	YTD	1 Year	3 Years	5 Years	10 Years	Since Inception (12/31/2012)
EMGC	-3.9	17.7	17.9	16.2	-0.9	7.8	7.2
MSCI EM	-0.4	23.4	29.2	24.1	8.9	9.1	6.1

As of October 1, 2021, the firm was redefined to be the combination of Sands Capital Management, LLC and Sands Capital Alternatives, LLC (previously known as Sands Capital Ventures, LLC). Both firms are registered investment advisers with the U.S. Securities and Exchange Commission in accordance with the Investment Advisers Act of 1940, as amended. The two registered investment advisers are combined to be one firm for GIPS purposes and are doing business as Sands Capital. Sands Capital operates as a distinct business organization, retains discretion over the assets between the two registered investment advisers, and has autonomy over the total investment decision making process. Prior to October 1, 2021, the firm was defined as Sands Capital Management, LLC, is an independent registered investment adviser. Sands Capital claims compliance with the Global Investment Performance Standards (GIPS®) and has prepared and presented this report in compliance with the GIPS® standards. Sands Capital has been independently verified for the periods February 7, 1992 through December 31, 2025. A firm that claims compliance with the GIPS standards must establish policies and procedures for complying with all the applicable requirements of the GIPS standards. Verification provides assurance on whether the firm's policies and procedures related to composite and pooled fund maintenance, as well as the calculation, presentation, and distribution of performance, have been designed in compliance with the GIPS standards and have been implemented on a firm-wide basis. The Emerging Markets Growth Composite ("EMGC") has had a performance examination for the periods December 31, 2012 through December 31, 2025. The verification and performance examination reports are available upon request. The EMGC reflects information from all fee-paying and non-fee-paying accounts managed in the Emerging Markets Growth strategy. The Emerging Markets Growth strategy is a concentrated portfolio that normally consists of the equity securities of 30 to 50 primarily large and mid-capitalization growth businesses. Portfolio companies are domiciled, listed, or have significant exposure (e.g., substantial portion of revenues, profits, or productive assets) to emerging and frontier markets. The portfolio may invest in ADRs, foreign securities traded on foreign exchanges, and may include the use of derivative access products including Low Exercise Price Warrants ("LEPWs") and Participation Notes ("P-Notes") to gain exposure to certain foreign markets where direct investment is restricted or not always practical or cost efficient. The strategy may experience losses as it is subject to equity securities risk, market and issuer risk, selection risk, growth style risk, concentration risk, currency exchange risk, foreign company risk, derivatives risk and other economic risks that may influence the returns of this strategy. The benchmark for the EMGC is the MSCI Emerging Markets Index ("MSCI EM"). The MSCI EM is a free float-adjusted market capitalization weighted index that is designed to measure the equity market performance of emerging markets. The EMGC may hold securities not included in the MSCI EM and Sands Capital may invest in securities not covered by the index. The annual composite dispersion presented is an asset-weighted standard deviation calculated of performance dispersion for accounts in the composite for the entire year, using beginning of period values. The U.S. dollar is the currency used to express performance. Returns include the effect of foreign currency exchange rates. Gross and net performance includes the reinvestment of all income and is presented net of expenses, foreign withholding taxes on dividends, interest income, and capital gains. Withholding taxes may vary according to the investor's domicile. The benchmark return is net of the maximum withholding tax rate of the constituent company's country of incorporation applicable to institutional investors. Net of fee performance was calculated by reducing the monthly gross composite return by 1/12 of the highest applicable annual fee of 1.25% for the period from January 1, 2013 to March 31, 2019. Beginning on April 1, 2019, the highest applicable annual fee was lowered and net of fee returns were calculated by reducing the monthly gross composite return by 1/12 of the highest applicable annual fee of 0.85%. Policies for valuing investments, calculating performance, and preparing GIPS Reports are available upon request. A list of composite descriptions, pooled fund descriptions for limited distribution pooled funds, and broad distribution funds is available upon request. Past performance is not indicative of future results. The investment management fee schedule for separate accounts is 0.85% on the first $50 million, 0.65% on the next $200 million and 0.55% on all assets above $250 million. The Sands Capital Emerging Markets Growth Master Fund LP, which is included in the composite, has an investment management fee schedule of 0.85% on all assets and the total expense ratio is 1.00%. Accounts may also pay a performance- based fee that consists of a base fee plus a percentage of the annualized excess return versus the benchmark. Additional information regarding performance fees is available upon request. Actual investment advisory fees incurred by clients may vary which will result in performance that may be higher or lower. The EMGC was created on May 28, 2013 and the inception date for performance is December 31, 2012. MSCI is the source of all MSCI data presented. 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Sands Capital

We are an active, long-term investor in leading innovative growth businesses, globally. Our approach combines analytical rigor and creative thinking to identify high-quality growth businesses that are creating the future. Through an integrated investment platform spanning venture capital, growth equity, and public equity, we provide growth capital solutions to institutions and fund sponsors in more than 30 countries. Sands Capital is an independent, staff-owned firm founded in 1992 with offices in the Washington, D.C. area, New York, San Francisco, London, and Singapore.

All-In Culture

We are one team dedicated to one mission and one philosophy. As a fully independent and staff-owned firm, we attract and retain strong talent, focus on long-term outcomes, and are highly aligned with our clients' interests.

Insight Driven

Businesses that can build a sustainable advantage are few and far between. To seek them, we apply six criteria to separate signal from noise, identify what matters most, and construct differentiated views on tomorrow's businesses, today.

High Conviction for High Impact

All our strategies concentrate investments in only our best ideas and avoid mediocrity. With the intent to own businesses for five years or longer, we seek to create value for clients through the compounding of business growth over time.

Global Perspective with Local Understanding

Innovation-driven growth knows no geographic boundaries. Neither does our research team. We are hands on, on-the-ground, deeply immersed in the ecosystems in which our businesses operate.